

Declaration of researcher

I am Anveksha Padhye, students of B.A.LLB.(Hons) 7th Sem studying at INDORE INSTITUTE OF LAW declare that the project work on “INSOLVENCY AND BANKRUPTCY CODE: A CHANGING EPITOME” was carried by me on our own research. This project was undertaken as a part of an Academic curriculum according to the university rules and regulations and it has no commercial interest and motive, it is our original work. It is not submitted to any other organization for any other purpose.

Table of Content

• Declaration of researcher.....	1
• Table of content.....	2
• Table of Statues.....	3
• Abbreviations.....	4
• Abstract.....	5
1-INTRODUCTION	
1.1 Introduction of Insolvency and Bankruptcy.....	6-7
1.2 Research Question.....	7
2-BREIF HISTORY.....	7-8
3- NEED OF UNIFORM INSOLVENCY LAW	
3.1 erstwhile legislations on insolvency.....	8-9
3.2 lacunas under former legislation.....	9
3.2.1 Pre-independence Legislations.....	10
3.2.2 Post-independence Legislations	10-11
3.3objectives behind this code.....	11-12
4- INSOLVENCY AND BANKRUPTCY CODE, 2016	
.1 Backbones of the Code.....	13-14
.2 Corporate insolvency resolution.....	14-20
.3 Liquidation.....	20-22
.4 Priority of claims.....	23
5- CONCLUSION AND OVERVIEW.....	23-24

Table of statues

- **The Presidency Town Insolvency Act, 1909**
- **The Provincial Insolvency Act, 1920**
- **The Recovery of Debt due to Banks and Financial Institution Act, 1993**
- **The Sick Industrial Companies Act, 1985**
- **The Companies Act, 2013**
- **Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002.**

Abbreviations

1. **CG** – Central Government
2. **SG**– State Government
3. **RDBFI**– The Recovery of Debt due to Banks and Financial Institution Act
4. **SARFAESI** - Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act
5. **NCLT**- National Company Law Tribunal
6. **DRT**- Debt Recovery Tribunal
7. **COC**- Committee of Creditors
8. **SICA**- Sick Industrial Companies Act

Abstract

Insolvency and Bankruptcy has created a big problem to the economy of the country now days. Failure to paying loans and closure of business is a critical situation especially for the developing nation, where there is a strict need of financial stability, industrialization, eligible startups, etc. Insolvency has always been considered as the biggest fear for the creditors irrespective of secured or unsecured creditors or even for Banks and other all lending institutions. Looking forward to current scenario, we have found that the Banks, Financial Institutions, Private lenders, etc are into the threat that their loans would be converts into the Non-Performing Assets(NPA). India has the second highest ratio of NPA's in the world. The ratio is increasing day by day which adversely affect the regulation of money in the economy. There are many laws which are present there for to save the interest of creditors, such as SICA 1985, RDBFI Act 1993, SARFAESI Act 2002, but eventually it has been seen that they are not capable enough to protect the interest of the creditors at that extent which have been required. All these previous laws for the debt recovery might recover the some portion of credit but somehow totally fails to revive that companies which would go into the liquidation. In India debt recovery is a time taking process, on the other hand if we go to the international scenario, debt recovery attains the priority and it should be done as soon as possible. To get rid of this problem, in 2016, new code had introduced to the country i.e. Insolvency and Bankruptcy Code, 2016. This code is considered as a very important step towards limiting the risk of the credits. Insolvency and Bankruptcy Code not only are having objectives of debt recovery but have motive of revival of the companies. This code does not means that all the present laws will go into the air but they should have amended according to the provisions of this code. This research paper would analyze the need of this code after all this laws which has been present. The aim of the researcher is to focuses on the powers of this code and how does this code will help to all the creditors including secured and unsecured creditors. Various issues which have been faced by the creditors of the companies are covered under this research paper. This research paper gives an overview on all previous insolvency and bankruptcy laws and main focuses on Insolvency and Bankruptcy Code, 2016.

1. Introduction

Synopsis

1.1 Introduction on Insolvency and Bankruptcy

1.2 Research Question

1.1 Introduction on Insolvency and Bankruptcy

Insolvency and Bankruptcy Code, 2016 is one of those few codes or bills which are passed without any political stubbornness and Government was able to secure votes to ensure safe passage that clearly shows the importance of this code. For establishing any business or expansion of any established business, availability of credit in the market is a prime factor. Due to Insolvency and Bankruptcy, creditors are becoming unconfident and an access of debt for borrowers is quite difficult.

To understand the insolvency laws, we should have a clear vision regarding the meaning of insolvency and the difference present between insolvency and bankruptcy. Insolvency and Bankruptcy are not synonyms though the Bankruptcy means a person to being insolvent. Insolvency in the layman language is inability to pay a debt or the lack of financial resources and in the concise legal definition insolvency means insufficiency to pay all enforceable debt. Insolvency is when an individual, corporation or other organization cannot meet its financial obligations for paying debt as they are due. On the other hand, Bankruptcy is a legal process intended to insure equality among the creditors of a corporation declared to be insolvent or in plain English it is a legal process to resolve insolvency. Bankruptcy is not having a same meaning as insolvency, technically Bankruptcy occurs when a court has determined that this particular individual or firm is insolvent. Insolvency term can be used for individuals or organizations, individual's insolvency is known as Bankruptcy and organizations or corporation's insolvency is known as Corporate Insolvency. Untreated insolvency will lead to Bankruptcy for non-corporate and Liquidation of corporate.

Form the above, we could state that insolvency is a beginning and bankruptcy is a conclusion. A bankrupt will be conclusively insolvent bur all the insolvencies would not necessarily leads to

bankruptcy or liquidations. Insolvency situations have two options one is recovery or resolution and liquidation.

1.2 Research Questions

The researcher examine following questions on the objectives which are mentioned above in the abstract:-

1. What is the need of the new code where laws are presents for insolvency?
2. What are the objectives of this code?
3. Are the previous legislation stop workings or being on work parallel with this code?

2. Brief History of the Code

The evolution of this code has been passed through different phases and various committees had been formed on the insolvencies laws. All the Governments which had in power, insolvency is been a matter of grave concern for all of them. Behind each legislation on insolvency, committee had formed to critically analyze and for their recommendations.

- Tiwari Committee has formed in 1981, to give recommendations on SICA and in 1985 SICA enacted.
- Later in 90's, for RDDBFI in 1991 Narsimhan Committee has formed and in 1992, Act came into force.
- In 1998 again Narsimhan Committee has established to give recommendations on SARFAESI and in 2002, this act came into force.
- The Insolvency and Bankruptcy Code, 2015 was introduced in Lok Sabha on 21st December, 2015 and referred to the Joint committee on insolvency and Bankruptcy Code, 2016.
- The Committee has presented its recommendations and a modified Bill based on its suggestions. This bill had passed in Lok Sabha on 5th May, 2016 and was passed under

Rajya Sabha on 11th May, 2016. This Bill received President Assent on 28th May, 2016 and notified in the official gazette on the same day.

3. Need of uniform insolvency law

Synopsis

- **Erstwhile legislations on insolvency**
- **Lacunas under former legislation**
- **Objectives behind this code**

In a globe, India stands way back in the legal mechanism for dealing with debt recovery and has not been in a line. As per the Ease of Doing of Business Report of the World Bank, it takes an average of four to five years in resolution of insolvency in India. Insolvency of any individual or any firm affects not only creditors but it also affects unpaid employees as well. Insolvency spread lack of confidence among the credit market and which ultimately hinders the development of the country. As we discussed earlier that there are many legislations since independence has been present which deals with the insolvency and bankruptcy. There are some laws which have been dealing with an individual insolvency and some which have been dealing with firm and other corporation's insolvency. There is no uniform law on insolvency has been enacted yet. All legislations on insolvency having a different procedure for debt recovery and provisions of one act are overlapping to another acts provisions. It's been a difficult task for the creditors that in which act, they should have to be apply. To remove this ambiguity, there is a strict need of uniform law which should have deals with all types of insolvency and bankruptcy.

3.1 Erstwhile legislations on insolvency

The recovery actions by creditors could be taken either through Contract Act or through special laws.

The Pre-independence laws such as **The Presidency Town Insolvency Act, 1909** or **The Provincial Insolvency Act, 1920** had kept by the government and have not been repealed yet. These two old acts deal with an individual insolvency and bankruptcy.

Special legislations like **The Recovery of Debt due to Banks and Financial Institution Act, 1993** and **the Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002**, were enacted with sole motive of recovery of debt.

To dealing with corporation's insolvency, **The Sick Industrial Companies Act, 1985** and Part VIA and VII and Section 391 of **The Companies Act, 1956** and Chapter XIX and XX of the **Companies Act, 2013** has been present. These acts have been enacted with the dual purpose, one is aid recovery of lenders debt and the other is to revival of firms.

3.2 Lacunas under former legislations

If the past laws are capable enough to give desired outcomes then why the need of new legislation has arise. In India, there are several laws on a single subject matter which results in the delay and overlapping of the provisions. All insolvency laws have their own default and loopholes which should be eradicate.

While introducing Insolvency and Bankruptcy code in Rajya Sabha, Honorable Finance Minister Mr. Arun jaitley said, *"SICA(Sick Industrial Companies Act), 1985 will eventually go, that's the first and SARFAESI (Securitisatation and Reconstruction of Financial Assets and Enforcement of Security Interest Act), 2002, will have to be amended and brought in line with the changed provisions of the new bankruptcy law, there are some changes which are required to be done."*

By these words we could understand that the previous laws which have been present for insolvency are needed to be amended and brought in the line.

3.2.1 Pre-Independence legislations

There are two acts, which were enacted before independence of India i.e., **The Presidency Town Insolvency Act, 1909** or **The Provincial Insolvency Act, 1920**. These enactments deals with personal insolvency and have parallel provisions and their substantial content is also similar but both could be differentiated on their territorial jurisdiction.

The first thing which enlightens these two acts is they are almost a century old. Law should be developed with the time and this is the basic nature of law. And the second thing is they are dealing in the individual insolvency and solve the matters of partnership firm's or sole proprietorship only.

3.2.2 Post-independence legislations

Till 1985, SICA, 1985 had enacted the winding up provisions of Companies Act, 1956 were dealing in the corporate insolvency.

In 1985 new law had introduced for insolvency SICA (Sick Industrial Companies Act), 1985 with the motive of recovery of debt hence there was another object or the main object behind this legislation was to reconstruction of firm and revival of business after the company became sick. SICA, 1985 has been a failure to fulfill its very objectives and often being misused by the debtor company. SICA shields the debtors from the creditor's enforcement while its main agenda is to provide them a genuine rehabilitations and resolution over their debt.

After SICA fails, Government had introduced new regime under insolvency i.e., Recovery of Debts due to Banks and Financial Institution Act (RDDBFI), 1993 in short DRT Act was passed. The main object of this act was to give speedy resolution to Banks and other financial institutions through establishing special courts without stuck in lengthy procedure of civil courts. Government has constituted 33 Debt Recovery Tribunal and 5 Debt Recovery

Appellate Tribunal across the country. With the enactment of DRT Act, Banks and Financial Institutions get the hope that their NPA's could easily recover and converts into performing assets. However, in spite of that the Banks and Institutions facing problems relating to liquidity and asset liability mismatch, since their assets were blocked for considerable time and converts in unproductive assets. No provisions were present for securitizations of assets and bank had unfortunately no power on securities which were favored to them.

To resolve the problems of RDDBFI, government was passed another legislation named the Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act (SARFAESI), 2002. This Act was to enable banks to junk free their balance sheets and pass on the burden to an agency. Act gained some popularity with their assets securitization and speedy procedure through DRT's but after a while this act also met with certain limitations. The SARFAESI was only concerned with the unsecured creditors and CRD is limit to only with Banks and Financial institutions.

3.3 Objectives behind this Code

In spite of all the legislations present, there was no single window exists for the resolution and multiple agencies worked and results in overlapping effect. The laws which were prevail could not match the market realities and not able to achieve confidence among Banks and other creditors. We have needed an umbrella, under which all legislations could functioned properly.

The sound framework on insolvency law would have achieves following objectives, helps in attaining the goals of lawmakers.

- **Removes ambiguity** - multiplicity of laws creates the ambiguity, multiple debt recovery governing bodies cause confusion. Parallel proceedings on the same debtor by the different creditors under different machinery lead resolution nowhere. The framework should remove this ambiguity.
- **Drawing the line between malfeasance and business failure** - this code must drawn the line between a wrongful conduct and a genuine business failure. Due weak

insolvency regime, rich debtors have ability to erase the line, and convert their malfeasance into a genuine business failure.

- **To setup fast track mechanism** – the main issue with former insolvency regimes is a slow resolution process and it would take minimum 4 to 5 years. The creditors should have their debt back as earlier as possible. To boost up the insolvency proceedings, this code has enacted which shall have a speedy resolution.
- **Avoid destruction of value** – it can also provide flexibility to the parties to arrive at the most efficient solution to maximize value during negotiation. More the negotiations done between the creditors and debtors, chance of rearrangement will be stronger.
- **Credit availability to market** – its main objective is to increase credit availability in the market to promote entrepreneurship and encourage new start-ups in the country.

4. Insolvency and Bankruptcy Code, 2016

Synopsis

- **Backbones of the Code**
- **Corporate insolvency resolution**
 - **Liquidation**
 - **Priority of claims**

The Insolvency and Bankruptcy Code, 2016 is enacted with the aim to consolidate all laws on insolvency and give strong legislation on all previous laws which contains various resolutions in single legislation. All provisions of this code have an overriding effect on

previous legislations. Single chain system has introduced in this code, which helps in fast resolution process of liquidation.

4.1 Backbones of the Code

This Code has 5 pillars on which it stands, there as follows:-

- a) Insolvency and Bankruptcy Board of India
 - b) Insolvency Professionals agencies
 - c) Insolvency Professional
 - d) Information Utilities
 - e) Adjudicating Authority
- **Insolvency and Bankruptcy Board of India:** - This is regulatory body, which is established to regulate or govern the provisions of the code. This body will oversee the activities of Insolvency Professionals agencies, Insolvency Professional and Information Utilities. The body having a separate legal entity and perpetual succession, it can sue and be sued in its own name.
 - **Insolvency Professionals agencies:-** There are three insolvency professional agencies such as Indian Institute of Insolvency Professionals of ICAI, ICSI Insolvency Professionals Agency, Insolvency Professional Agency of Institute of Cost Accountants of India, which are governed by Insolvency and Bankruptcy Board of India (Insolvency Professionals agencies) Regulations, 2016.
 - **Insolvency Professionals:-** The Code provides insolvency professionals as an intermediaries between the creditors and the management of a company. The main role of IP's as to manage and control the financial decisions and assets of an enterprise. The IP's play an efficient part in the resolution process and shall have various powers to take important decisions of an enterprise.

- **Information Utilities:-** The creditors shall have right to information about their debtors. The code has ideated information utilities which provide authentic financial information of the debtors in centralized electronic form. This information has given to the creditors, insolvency professionals, Official liquidator and stake holders during the insolvency proceedings.
- **Adjudicating Authority:-** The insolvency proceeding has adjudicated by two authorities under this code. Adjudicating authority for corporate insolvency is National Company Law Tribunal (NCLT) and the appellate authority is National Company Law Appellate Tribunal (NCLAT) and thereafter Supreme Court.

The Debt Recovery Tribunal (DRT) is an adjudicating authority for an individual's insolvency and partnership firm and for the appeal there is Debt Recovery Tribunal Appellate (DRAT) and further appeals lie to the Supreme Court.

4.2 Corporate Insolvency Resolution Process

The Corporate Insolvency Resolution Process is covered under Part II of this code, which distributed in 7 chapters contained from section 4 to section 77.

Under Resolution process for the corporate persons, financial creditors assess the company's position and through insolvency professionals try for revival of a company. If a company is not in a position to revival in the eyes of creditors and the appointed insolvency professionals, following company go into the liquidation and assets of a company shall be distributed in the following financial creditors.

In the objectives, as we discussed the code stressed on the timely proceedings or we can say it follows time-bound resolution for corporate persons or individual. This process shall be completed in 180 days which can be extendable to 90 days, means in total 270 days, following process should be completed.

The comprehensive mechanism has to be followed by the insolvency resolution process for corporate persons;-

1. Filing application to NCLT
2. Adjudication of NCLT; whether application has accepted or rejected
3. Declaration of moratorium and public announcement
4. Appointment of interim insolvency professionals
5. Formation of creditors committee
6. Preparation and approval of resolution plan
7. Resolution plan applicability: revival or liquidation

- 1. Application before National Company Law Tribunal (NCLT);** - For the insolvency resolution of corporate persons, application has to be filled before NCLT against corporate debtors.

According to code, for filling an application the total amount of debt shall be one lakh rupees or more, however Central government may by notification, shall specify the minimum amount of default of higher value which shall not be more than one crore rupees. [Section 4]

Following are the persons who could initiate an application against debtors in the manner which is provided by the code under section 6:-

- **Financial creditors**
- **Operational creditors**
- **Corporate debtors**

There are persons who are not entitled to initiate an application, or prohibited by the code which are as follows:-

- a corporate debtors already under the process of insolvency resolution
- a corporate debtor having completed corporate insolvency resolution process twelve months preceding the date of making of the application;
- a corporate debtor or a financial creditor who has violated any of the terms of resolution plan which was approved twelve months before the date of making of an application under this Chapter; or

- a corporate debtor in respect of whom a liquidation order has been made. [Section 11]

2. Adjudication of NCLT: admission or rejection of application

The adjudicating authority (NCLT), has right to accept or reject the application within fourteen days from filling an application. Application may send for rectification of defects and shall be submitted within seven days.[Section 7 (4)&(5)]

The insolvency resolution process shall commence from the date of admission of application by the adjudicating authority. It is referred as Corporate Insolvency Resolution Date. [Section 10(5)]

Time limit for completion of insolvency resolution process: the process shall be completed within one hundred and eighty days from Corporate Insolvency Resolution Date.

The resolution professional shall file an application to the Adjudicating Authority to extend the period of the corporate insolvency resolution process beyond one hundred and eighty days, if instructed to do so by a resolution passed at a meeting of the committee of creditors by a vote of seventy-five per cent. of the voting shares.

If the Adjudicating Authority is being satisfied that the insolvency resolution process cannot complete within given time i.e., 180 days, they shall order for time extension to resolution professionals, however the extended time shall not exceeding ninety days.

It should be noted that time extension shall be given for only once according to this code, which means in total two hundred and seventy days shall be given for the insolvency resolution process. [Section 12]

3. Declaration of moratorium and public announcement

The Adjudicating Authority after admission of an application shall: -

- a) Declare a moratorium
- b) Public announcement and call for submission of claims
- c) Appoint of interim resolution professionals. [Section 13]

Moratorium period:- after the commencement of insolvency resolution process, calm period of 180 days is declared, during which all suits and legal proceeding etc, against the Corporate Debtors are held in abeyance to give time to the entity to resolve its status.

The supply of essential goods and services to the Corporate Debtors shall not be terminated during the moratorium period.[Section 14]

Public Announcement:- Interim Resolution Professionals shall make public announcement immediately after the appointment.

The public announcement of the corporate insolvency resolution process under the order referred to in section 13 shall contain the following information, namely:—

- (a) name and address of the corporate debtor under the corporate insolvency resolution process
- (b) name of the authority with which the corporate debtor is incorporated or registered.
- (c) the last date for submission of claims
- (d) details of the interim resolution professional who shall be vested with the management of the corporate debtor and be responsible for receiving claims
- (e) penalties for false or misleading claims [Section 15]

4. Appointment of interim insolvency professionals:- Interim insolvency professionals are appointed by the Adjudicating Authority within fourteen days from the commencement date. Procedure of an appointment shall be done according to Section 16 of the code.

Powers which shall be exercised by interim resolution professionals such as:-

- Management of the affairs of corporate debtors

- Powers of board of directors and partners of a company shall be exercised by IRP
- the officers and managers of the corporate debtor shall report to the interim resolution professional
- the financial institutions maintaining accounts of the corporate debtor shall act on the instructions of the interim resolution professional[Section 17]

The duties of interim resolution professionals are as follow;-

- collect all information relating to the assets, finances and operations of the corporate debtor
- receive and collate all the claims submitted by creditors to him
- constitute a committee of creditors
- monitor the assets of the corporate debtor and manage its operations until a resolution professional is appointed by the committee of creditors
- file information collected with the information utility
- take control and custody of any asset over which the corporate debtor has ownership rights. [Section 18]

5. Formation of creditors committee:- Interim resolution professionals after determine the financial positions of Corporate debtor and collation of all claims against the Corporate debtor shall constitute a committee of creditors.

Composition of committee –

- a) All financial creditors
- b) Related parties of corporate debtors cannot become members of COC.[Section 21(2)]

All the decisions of committee will be taken through voting, and minimum seventy five per cent of votes shall attain in the meeting of COC.

The first meeting of the committee of creditors shall be held within seven days of the constitution of the committee of creditors. All meetings of the committee of creditors shall be conducted by the resolution professional.

6. Preparation and approval of resolution plan

Resolution plan:- it is a proposal agreed by debtors and creditors to resolve insolvency of a company without liquidation. Section 30 and Section 31 of the code deals with the preparation of resolution plan

Resolution professional prepares information memorandum which shall contain information regarding formulation of resolution plan.

Submission of resolution plan:- for the submission of resolution plan, it shall be approved by Committee of creditors with not less than 75% of votes. Subsequently the committee of creditors approved which resolution plan is submitted to adjudicating authority by resolution professionals.

Approval of resolution plan:- if the Adjudicating authority satisfied that the committee of creditors has approved the following resolution plan as per the provisions of the code, the authority shall order of approval of the resolution plan and it shall be binding on-

- Corporate debtors and its employees
- Members, creditors and guarantors
- Other stakeholders involved in resolution plan [Section 31(1)]

After order of approval:-

- Moratorium order shall have to cease the effect which passed under section 14
- Resolution professionals are forward the approved resolution plan to the board for records. [Section 31 (3)]

7. Resolution plan applicability: revival or liquidation

Revival

If all the procedure of resolution plan has been done then it shall be applicable and revival of a company shall proceed. But if the adjudicating authority finds that the

resolution plan does not satisfied the conditions referred in this code, they shall have powers to reject the approval may by order according to section 31 clause 2. The process of liquidation starts when the corporate resolution process has stop.

4.3 Liquidation

The first objective of this code is the revival but if the resolution plan fails to do so, the liquidation provisions are strike. To resolve the corporate insolvency, liquidation is considered as the last but an effective method. Chapter III of this code is contain the provisions of liquidation process and the liquidation process of corporate insolvencies has to be done with these given provisions only.

4.3.1 Initiation of liquidation ;- Following are the reasons on which liquidation can initiate-

- **Resolution plan rejects:-** After rejects the resolution plan under section 31, Adjudicating Authority shall have right to –
 - (i) pass an order requiring the corporate debtor to be liquidated in the manner as laid down in this Chapter
 - (ii) issue a public announcement stating that the corporate debtor is in liquidation
 - (iii) Require such order to be sent to the authority with which the corporate debtor is registered.
- **Non-receiving resolution plan:-** According to section 33 of the code, the process of liquidation has to take place when the maximum time period of corporate insolvency resolution has over and the Adjudicating Authority has declared by order that the resolution plan does not received yet hence they shall have to reject the approved resolution plan.
- **On the decision of committee of creditors:-** if the resolution professional intimate the Adjudicating Authority during the corporate insolvency resolution process that the committee of creditors decide to liquidate the insolvency before the confirmation of resolution plan, Adjudicating Authority may give order of liquidation.

- **Contravention by corporate debtor :-** the resolution plan is being contravened by any Corporate debtor, any person may filed an application to adjudicating authority for liquidation.

4.3.2 Appointment of liquidator and fees to be paid

Appointment of liquidator has to be done according to section 34 of this code.

According to section 34, appointment is possible in following ways:-

- Resolution professionals can appointed as official liquidator.
- On the recommendation of board, insolvency professionals can also appointed as a liquidator

Fees of the liquidator is paid according to section 34 clause 9 - The fees for the conduct of the liquidation proceedings shall be paid to the liquidator from the proceeds of the liquidation estate under section 53.

4.3.3 Powers and duties of liquidator

Section 35 of this code contains provision of the power and duties of liquidator which are as follows:-

- (a) to verify claims of all the creditors;
- (b) to take into his custody or control all the assets, property, effects and actionable claims of the corporate debtor;
- (c) to evaluate the assets and property of the corporate debtor in the manner as may be specified by the Board and prepare a report;
- (d) to take such measures to protect and preserve the assets and properties of the corporate debtor as he considers necessary;
- (e) to carry on the business of the corporate debtor for its beneficial liquidation as he considers necessary;
- (f) to transfer any immovable and movable property of Corporate debtor in the process of liquidation.
- (g) to draw, accept, make and endorse any negotiable instruments including bill of exchange, hundi or promissory note in the name and on behalf of the corporate

debtor, with the same effect with respect to the liability as if such instruments were drawn, accepted, made or endorsed by or on behalf of the corporate debtor in the ordinary course of its business;

(h) to take out, in his official name, letter of administration to any deceased contributory and to do in his official name any other act necessary for obtaining payment of any money due and payable from a contributory or his estate which cannot be ordinarily done in the name of the corporate debtor, and in all such cases, the money due and payable shall, for the purpose of enabling the liquidator to take out the letter of administration or recover the money, be deemed to be due to the liquidator himself;

(i) to obtain any professional assistance from any person or appoint any professional, in discharge of his duties, obligations and responsibilities;

(j) to invite and settle claims of creditors and claimants and distribute proceeds in accordance with the provisions of this Code;

(k) to institute or defend any suit, prosecution or other legal proceedings, civil or criminal, in the name of or on behalf of the corporate debtor;

(l) to investigate the financial affairs of the corporate debtor to determine undervalued or preferential transactions;

(m) to take all such actions, steps, or to sign, execute and verify any paper, deed, receipt document, application, petition, affidavit, bond or instrument and for such purpose to use the common seal, if any, as may be necessary for liquidation, distribution of assets and in discharge of his duties and obligations and functions as liquidator;

(n) to apply to the Adjudicating Authority for such orders or directions as may be necessary for the liquidation of the corporate debtor and to report the progress of the liquidation process in a manner as may be specified by the Board; and

(o) to perform such other functions as may be specified by the Board

4.4 Priority of claims

After the completion of liquidation process, the assets will be distributed accorsing to the provisions of this code and priority of claim will be accordance with this code.[Section 53]

- Cost and expenses of insolvency
- Workmen's dues for the period of 24 months and secured creditors
- Wages and any unpaid dues owed to employees other than workmen, for the period of 12 months
- Dues of Central Government and State Government
- Unsecured financial creditors
- Other debts and dues

5. Conclusion and Overview

The Insolvency and Bankruptcy Code, 2016 is a biggest step which is taken by the government and finance ministry. The historic performance of insolvency laws is being spotty. After liberalization, free market and economy weak insolvency and bankruptcy laws are not going to support anyways. To see the all previous legislations flaws, it is considered as a necessary step which should have taken earlier. *"The functioning of Indian Banks is not today's problem it is our country's legacy problem"* said by Hon Finance Minister Mr. Arun Jaitley. To resolve this problem, the code has been introduced. To study this code and keep all the flaws of previous laws in mind, the main motive behind this code is the fast and furious resolution of insolvency. Insolvency is threat to the development of the country it should eradicate. I would like to conclude that this code has been a very important contribution of the government to resolve the problem of all the creditors, especially Banks and financial institutions which are highest money lenders in the country. Bank should be more powerful, but in India the positions of Banks are being deteriorating and no. of insolvency are increasing day by day. This code believes in fast track mechanism and also focuses on revival of companies. This code itself concerns with revival and reconstructions of the companies and firms. The Adjudicating Authorities which are NCLT and DRT are having numerous powers which are helpful in give fast verdicts. According

our Finance Minister, DRT is going to resolve individual insolvency and partnership firm insolvency, but the mechanism of DRT has been very slow so all the procedure of DRT will be online which proves helpful in fast mechanism. The powers of adjudicating authorities can see with the number of provisions of this code. The maximum time limit of 180 days and only one time extension clearly reflects its objective. The formation of creditors committee gives the power to creditors from the hands of debtors, itself a big change in the system. This code not only for the secured creditors but for the unsecured creditors, workmen and employees also.